

Calendar Line 7**Case Name:** *Ezequiel Ciappolino v. Dmitry Stadlin et al.***Case No.:** 24CV434209

This is a motion for an award of attorney's fees arising out of a successful anti-SLAPP motion brought by defendant Dmitry Stadlin. In its order dated August 20, 2024, the court noted: "The motion and reply are not accompanied by any declaration stating the fees and costs incurred in bringing the special motion to strike. Therefore, Stadlin will have to bring a separate motion for attorney[']s fees in order to recover any mandatory award." (August 20, 2024 Order, p. 11:1-3.) This is now that separate motion, seeking an award of \$15,400.00 (38.5 hours at a billing rate of \$400/hour).

Plaintiff Ezequiel Ciappolino opposes the motion, but his primary argument does not focus on the scope of the proposed award; rather, he relies primarily on the fact that his current monthly income is only "about \$2,000 per month working as a server/cook." (Ciappolino Declaration, ¶ 2.) He contends that under *Garcia v. Santana* (2009) 174 Cal.App.4th 464, 473-476 (*Garcia*), the court must consider "the losing party's financial condition" in determining the reasonableness of a fee award. (Opposition, p. 2:27-3:24.) In this case, he says that the amount requested by Stadlin is not reasonable because it imposes "an unreasonable financial burden on" Ciappolino, representing a majority of his annual income. (Opposition, p. 3:6-19 [citing *Garcia* at p. 475].)

As a general matter, the court notes (as it did in its August 20, 2024 order) that an award of attorney's fees is generally mandatory. (See Code Civ. Proc., § 425.16, subd. (c) [the "prevailing defendant" on a motion to strike "shall be entitled" to recover his or her attorney's fees and costs]; see also *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131 ["[A]ny SLAPP defendant who brings a successful motion to strike is entitled to mandatory attorney fees."].) The purpose of this fee-shifting provision is both to discourage meritless lawsuits and to provide financial relief to the SLAPP lawsuit victim. *Garcia, supra*, was not a case involving an anti-SLAPP motion; it was a case involving an award of attorney's fees under the Davis-Stirling Act, which addresses disputes involving homeowner associations. As such, it is not directly on point. Indeed, the court is not aware of any statutory or case law authority that holds that a trial court must consider a non-prevailing party's financial condition in determining an award of attorney's fees on an anti-SLAPP motion. Moreover, Ciappolino proposes an extreme application of the principle here, arguing that the appropriate award should be \$0. Such an outcome would be directly contrary to the purpose of the fee-shifting provision in section 425.16, subdivision (c), providing no deterrence against meritless SLAPP suits like the one filed by Ciappolino.

At the same time, the court recognizes that the deterrent purpose of the anti-SLAPP statute should be tempered by considerations of due process, and Ciappolino has shown an exceptionally limited ability to pay in this case. Accordingly, the court will reduce the attorney's fees award to \$8,000 (20 hours at \$400/hour). This is still one-third of Ciappolino's claimed annual income, which is a hefty sum and sufficient to realize the deterrent purpose of section 425.16. (Stadlin notes in reply that Ciappolino is supposedly due to collect on a \$300,000 judgment in the related lock-out litigation between Ciappolino and Stadlin's former client (see Reply, p. 2:10-13).)

The court otherwise finds that the amount of requested fees is reasonable. \$400 per hour is a relatively low hourly rate for counsel engaged in anti-SLAPP litigation, and Stadlin has shown that the 38.5 hours of work by his counsel were all in preparation of the anti-SLAPP motion itself (and the reply papers). The court finds that the overall total of 38.5 hours was also a reasonable total. Ciappolino's argument that "22.5 hours is not remotely a reasonable amount of time to prepare Defendant Stadlin's anti-SLAPP motion" is unpersuasive and conclusory—the court has seen much higher totals for similar anti-SLAPP motions. (Opposition, p. 4:15-16.)

Finally, the court is unmoved by Ciappolino's argument that Stadlin has "unclean hands." This argument has no bearing on a motion for attorney's fees and is instead an irrelevant attempt to relitigate the merits of the anti-SLAPP motion itself.

The motion is GRANTED IN PART. The court orders Ciappolino to pay **\$8,000** in fees to Stadlin within 90 days of notice of entry of this order.

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Calendar Line 8

Case Name: *Kam Hong Lui et al. v. Rozita Dadgostari*

Case No.: 24CV444662

This is a petition to compel arbitration and stay the case by defendant Rozita Dadgostari. In addition, plaintiffs Kam Hong Lui, Weijia Cai, and Stanford Education Foundation LLC (“SEF”) have filed a motion for leave to submit a surreply brief in opposition to the petition to compel. The court grants the motion for leave to file a surreply, and the court has reviewed the surreply.⁵ The court ultimately grants the petition to compel arbitration and to stay the case.

1. Background

Lui, Cai, and Dadgostari are parties to an “Operating Agreement of Stanford Education Foundation LLC[,] a California Limited Liability Company,” dated November 20, 2023 (the “Operating Agreement”). (Petition to Compel, Exhibit A.) Section 13.9 of the Operating Agreement includes an arbitration provision that states, in part:

13.9 Arbitration. Except as otherwise provided in this Agreement, any controversy or dispute arising out of this Agreement, the interpretation of any of the provisions, or the action or inaction of any Member or Manager that is not resolved through negotiation will be resolved exclusively by final and [b]inding arbitration conducted in accordance with the then-current Streamlined Arbitration Rules and Procedures of the Judicial Arbitration and Mediation Services (“JAMS”). The arbitration will be conducted by a single arbitrator selected by agreement of the parties or, if the parties cannot agree, an arbitrator appointed in accordance with the JAMS rules who shall be experienced in the type of dispute at issue The arbitrator will have full power and authority to determine issues of arbitrability and to interpret and construe the provisions of the agreement documents and to fashion appropriate remedies

There is a separate agreement between Dadgostari and non-party Jun Lu, a “Membership Inter[e]st Purchase and Transfer Agreement,” by which Dadgostari agreed to purchase Lu’s 30% interest in SEF (a.k.a., the “Purchase Agreement”). (Complaint, Exhibit 1.) The Purchase Agreement does not contain an arbitration provision. Both the Operating Agreement and the Purchase Agreement are dated November 20, 2023.

The complaint in this case asserts 13 causes of action against Dadgostari, including causes for fraud (both misrepresentation and fraudulent inducement), conversion, receiving stolen property, tortious interference (with business relationships, contracts, and prospective economic relations), unfair business practices, promissory estoppel, unjust enrichment, breach of contract (the Operating Agreement), breach of fiduciary duty (based on the Operating Agreement), and breach of the implied covenant of good faith and fair dealing (arising out of the Operating Agreement). Some of these causes of action are by all plaintiffs, some are by Lui and Cai only, and some are by SEF only.

⁵ The court agrees with plaintiffs that Dadgostari’s reply brief raises new issues and facts that merit consideration of a surreply.